Foreign Banks

Way back in1972, when I qualified for the civil service, I had an option to join the foreign service, but I decided to choose the IAS for a number of reasons, one of which was that I didn't think I had the personality or skills to be a successful diplomat. My self-assessment has not changed in the several decades since. But I could not avoid diplomacy altogether; I was involved in economic diplomacy at several points even in my IAS career, while dealing with multilateral institutions like the IMF and the World Bank, and bilateral donors like Japan.

A successful diplomat, they say, is one who puts the interests of his country above all else, consistency be damned. The truth behind this wisdom came forcefully to me via a big policy issue pertaining to foreign banks that I had to address as governor.

During the global financial crisis, emerging markets found that foreign banks were largely fair-weather friends. A priority for emerging markets during the crisis was to keep bank credit flowing for productive purposes. To persuade banks to keep pumping credit was no easy task when they were seized with such unprecedented fear and uncertainty. In general, emerging markets found that their domestic banks heeded the call but foreign banks remained reticent, almost all of them, in fact, retrenching credit.

The received wisdom among emerging markets in the post-crisis period was that the best way to mitigate the risk of such self-centred behaviour by foreign banks was to require all foreign banks to incorporate in the host country as a subsidiary.

Just by way of explanation, commercial banks typically operate in a foreign country either as a subsidiary or as a branch, and what form they choose depends both on their business model as well as the regulations of the host country. In India, the Reserve Bank allows both models of operation, leaving the choice of a branch or a subsidiary mode to the foreign bank. Curiously, all foreign banks that have come into India have chosen to operate as branches.